Question 9

No. of equity shares outstanding = 30,00,000

Basic earnings per share ₹ 5.00

No. of 12% convertible debentures of ₹ 100 each; 50,000

Each debenture is convertible into 10 equity shares

Tax Rate 30%

Compute Diluted Earnings per Share. Working notes should form part of the answer.

Answer

Earnings for the year = No. of Shares x Basic EPS = 30,00,000 shares x ₹ 5 per share = ₹ 1,50,00,000

Computation of Adjusted Net Profit = Earnings for the year + Interest on debentures net of tax

= 1,50,00,000 + (6,00,000 – 1,80,000) = ₹ 1,54,20,000

Computation of Adjusted Denominator = No. of equity shares resulting from conversion of debentures

= 50,000 x 10 shares = 5,00,000 shares

No. of equity shares for diluted EPS = 30,00,000 + 5,00,000 = 35,00,000 shares

Computation of Diluted EPS = ₹ 1,54,20,000/35,00,000 shares = ₹ 4.4 per share

Question 10

"At the time calculating diluted earnings per share, effect is given to all dilutive potential equity shares that are outstanding during the period". Comment and also calculate the basic and diluted earnings per share for the year 20X0-X1 from the following information:

(i)	Net profit after tax for the year	₹ 64,12,500
(ii)	No. of equity shares outstanding	15,00,000
(iii)	No. of 9% convertible debentures of ₹ 100 issued on 1st July, 20X0	75,000
(iv)	Each debenture is convertible into 8 Equity Shares	
(v)	Tax relating to interest expenses	35%

Answer

In calculating diluted earnings per share, effect is given to all dilutive potential equity shares that were outstanding during the period." As per AS 20 'Earnings per Share', net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period should be adjusted for the effects of all dilutive potential equity shares for the purpose of calculation of diluted EPS.

No. of equity shares resulting from conversion of debentures	= (75,000 x 8)	= 6,00,000 Shares
Weighted average no. of equity shares used to compute diluted EPS	= (15,00,000 x 12/12 + 6,00,000 x 9/12)	= 19,50,000 Shares
Adjusted net profit for the current year will be	= (64,12,500 + 5,06,250 – 1,77,188)	= ₹ 67,41,562
Basic EPS for the year 20X0-X1	= 64,12,500/15,00,000	= ₹ 4.275 or ₹ 4.28
Diluted earnings per share	= (67,41,562/19,50,000)	= ₹ 3.46

(Adjusted net profit for current year/Weighted average number of equity shares)

Working Note:

Interest expense for 9 months = 75,00,000 x 9% x 9/12 = ₹ 5,06,250

Tax expense 35 % on interest is ₹ 1,77,188 (5,06,250 x 35%)

Question 11

On 1st April 20X1, ABC Limited has given the following information:

	₹
50,000 equity shares of ₹ 100 each (₹ 80 paid up by all shareholders)	40,00,000
2,00,000 8% Preference shares of ₹ 10 each	20,00,000
10,000, 12% Debentures of ₹ 100 each (Each debenture is convertible into 3 equity shares of ₹ 100 each)	10,00,000

On 1st July 20X1, the remaining ₹ 20 was called up and paid by all the shareholders except one shareholder holding 10,000 equity shares. During the year 20X1-X2 the company had a profit after tax of ₹ 3,44,000.

Tax rate is 30%.

You are required to compute Basic and Diluted EPS.

Answer

$$\text{Basic Earnings per share (EPS)} = \frac{\text{Net profit attributable to equity shareholders}}{\text{Weighted average number of equity shares outstanding during the year}}$$

$$= \frac{1,84,000}{46,000 \text{ Shares (as per working note)}} = ₹ 4 \text{ per share}$$

Diluted earnings per share

Net profit for the current year				₹ 3,44,000
No. of equity shares outstanding				50,000
Basic earnings per share	=	(₹ 3,44,000/50,000)		₹ 4
No. of 12% convertible debentures of ₹ 100 each				10,000
Interest expense for the current year				₹ 1,20,000
Tax relating to interest expense (30%)				₹ 36,000
Adjusted net profit for the current year	=	₹ (1,84,000 + 1,20,000 – 36,000)	=	₹ 2,68,000
No. of equity shares from conversion of debentures			=	30,000
No. of equity shares used to compute diluted EPS	=	46,000 + 30,000	=	76,000
Diluted earnings per share	=	2,68,000/76,000	=	₹ 3.53

Working Note:

1. **Net profit attributable to equity shareholders** = Net profit less preference dividends
   = Total earnings – preference shares dividend
   = ₹ 3,44,000 – ₹ (8% x 20,00,000)
   = ₹ 3,44,000 – ₹ 1,60,000 = ₹ 1,84,000

2. Calculation of weighted average number of equity shares

As per AS 20 'Earnings Per Share', partly paid equity shares are treated as a fraction of equity share to the extent that they were entitled to participate in dividend relative to a fully paid equity share during the reporting period. Assuming that the partly paid shares are entitled to participate in the dividend to the extent of amount paid, weighted average number of shares will be calculated as follows:

Date	No. of equity shares	Amount paid per share	Weighted avg. no. of equity shares
01.04.20X1	50,000	80	50,000 x 80/100 x 3/12 = 10,000
01.07.20X1	40,000	100	40,000 x 9/12= 30,000
01.07.20X1	10,000	80	10,000 x 80/100 x 9/12= 6,000
Total weighted average equity shares			**46,000**

Question 12

Net profit for the year 20X1	₹ 12,00,000
Weighted average number of equity shares outstanding during the year 20X1	5,00,000 shares
Average fair value of one equity shares during the year 20X1	₹ 20.00
Weighted average number of shares under option during the year 20X1	1,00,000 shares
Exercise price for shares under option during the year 20X1	₹ 15.00

You are required to compute Basic and Diluted EPS.

Answer

Computation of earnings per share

	Earnings (₹)	Shares	EPS (₹)
Net profit for the year 20X1	12,00,000		
Weighted average no. of shares during year 20X1		5,00,000	
Basic earnings per share = (12,00,000/5,00,000)			2.40
Number of shares under option		1,00,000	
No. of shares that have issued at fair value [(1,00,000 x 15.00)/20.00]		(75,000)	
Diluted earnings per share = (12,00,000/5,00,000)	12,00,000	5,25,000	2.29

Note: The earnings have not been increased as the total number of shares has been increased only by the number of shares (25,000) deemed for the purpose of computation to have been issued for no consideration.

Calculation of Diluted EPS in Case of Multiple Potential Equity Shares

Question 13

XYZ Limited has provided you the following information as on 31st March, 20X1:

Particulars	₹
Net profit (After Tax)	₹ 31,20,000
No. of shares outstanding as on 31-3-20X1 of ₹ 10 each	8,00,000
Average fair value of one equity share during the year 20X0-X1	₹ 25

Weighted average no. of shares under option during the year 20X0-X1	80,000
Exercise price for shares under option during the year 20X0-X1	₹ 20
12% Debentures of ₹ 100 each (Each debenture is convertible into 4 equity shares)	₹ 30,00,000
Tax rate	30%

The company issued one equity share as bonus for every 5 equity shares outstanding as on 1st October, 20X0. It further issued 2,00,000 equity shares of ₹ 10 each as on 1st January, 20X1. The Financial Year of the company ends on 31st March each year.

You are required to calculate Basic and Diluted earnings per share as on 31.3.20X1 (round off to 2 decimals).

Answer

(a) Computation of Basic Earnings per Share

	Earnings (₹)	No. of Shares	EPS (₹)
Earnings per share for the year 20X0-20X1	31,20,000	6,50,000 (W.N 2)	4.80

(b) Computation of Dilutive Earnings per Share

	Earnings (₹)	Shares	EPS (₹)
Net profit for the year	31,20,000		
Weighted average no. of shares during year on 31.3.20X1 (i)		6,50,000	
Number of shares under option		80,000	
No. of shares issued at fair value: (80,000 x 20.00)/25.00		(64,000)	
No. of incremental shares issued for no consideration (ii)		16,000	
Diluted earnings per share after options	31,20,000	6,66,000 (i + ii)	**4.68**
12% Convertible Debentures (W.N. 3)	2,52,000	1,20,000	–
Diluted earnings	33,72,000	7,86,000	**4.29**

Working notes:

1. Computation of shares issued on bonus

No. of shares outstanding as on 31st March 20X1	8,00,000
Less: Shares issued on 1st Jan 20X1	(2,00,000)
Outstanding shares as on 31st December 20X0	6,00,000
Bonus shares [6,00,000 x 1/(1+ 5)]	1,00,000
Outstanding shares before bonus issue as on 1st April 20X0 (6,00,000 x 5/6)	5,00,000

2. Weighted Average number of Equity shares

	Shares	Months	Weighted average
Opening balance as on 1.4.20X0	5,00,000 (W.N.1)	12/12	5,00,000
Bonus	1,00,000	12/12	1,00,000
Further issue of shares on 1.1.20X1	2,00,000	3/12	50,000
			6,50,000

3. 12% Convertible Debentures

Increase in net profit [₹ 30,00,000 x 0.12 x (1 – 0.30)]	₹ 2,52,000
No. of incremental shares (30,000 x 4)	1,20,000

Miscellaneous

Question 14

X Limited, during the year ended March 31,20X1, has income from continuing ordinary operations of ₹ 2,40,000, a loss from discontinuing operations of ₹ 3,60,000 and accordingly a net loss of ₹ 1,20,000. The Company has 1,000 equity shares and 200 potential equity shares outstanding as at March 31, 20X1.

You are required to compute Basic and Diluted EPS?

Answer

As per AS 20 "Potential equity shares should be treated as dilutive when, and only when, their conversion to equity shares would decrease net profit per share from continuing ordinary operations".

As income from continuing ordinary operations, ₹ 2,40,000 would be considered and not ₹ (1,20,000), for ascertaining whether 200 potential equity shares are dilutive or anti-dilutive. Accordingly, 200 potential equity shares would be dilutive potential equity shares since their inclusion would decrease the net profit per share from **continuing ordinary operations from ₹ 240 to ₹ 200**. Thus, the **basic EPS would be ₹ (120) and diluted EPS would be ₹ (100)**.

Question 15

XYZ Limited has a wholly owned subsidiary BC Limited. The Group prepares consolidated Financial Statements for the year ended 31st March, 20X1. XYZ Limited (in its separate financial statements) has incurred a loss of ₹ 2 crore during the year, while the consolidated profit for the group during the year is ₹ 40 lakh.

XYZ Limited has 5,00,000 shares outstanding as at 31st March, 20X1. Further, it has granted options to issue equity shares as at that date. In respect of such options, 1,00,000 shares are considered to be the shares issued for no consideration. There are no changes in income or expenses that are expected from the issue of equity shares on exercise of these options.

Calculate Basic and Diluted EPS for XYZ Limited for separate financial statements and for the Group.

Answer

Computation of earnings per share

Particulars	Consolidated financial statements	Standalone financial statements of XYZ Limited
Basic earnings/(loss) per share	[₹ 40,00,000/5,00,000] = ₹ 8	[₹ 2,00,00,000/5,00,000] = (₹ 40)
Diluted earnings/(loss) per share	[₹ 40,00,000/6,00,000] = ₹ 6.66	[₹ 2,00,00,000/5,00,000] = (₹ 40)

As per paragraph 39 of AS 20 "Potential equity shares should be treated as dilutive when, and only when, their conversion to equity shares would decrease net profit per share from continuing ordinary operations.

In the above case, if the exercise of options was considered for separate financial statements of XYZ Limited, the diluted loss per share would have reduced to ₹ 33.33 [₹ 2,00,00,000/6,00,000]. As this is antidilutive, the options would not be treated as potentially dilutive equity shares. Accordingly, in the separate financial statements of XYZ Limited, the Diluted EPS would be same as Basic EPS.

CHAPTER - 21
AS 21, 23, 27: Consolidated Financial Statements

Calculation of Goodwill/Capital Reserve, Minority Interest & Consolidated Reserves

Question 1

Long Limited acquired 60% stake in Short Limited for a consideration of ₹ 112 lakhs. On the date of acquisition Short Limited's Equity Share Capital was ₹ 100 lakhs, Revenue Reserve was ₹ 40 lakhs and balance in Profit & Loss Account was ₹ 30 lakhs. From the above information you are required to calculate Goodwill/Capital Reserve in the following situations:

(i) On consolidation of Balance Sheet.

(ii) If Long Limited showed the investment in subsidiary at a carrying amount of ₹ 104 lakhs.

(iii) If the consideration paid for acquiring the 60% stake was ₹ 92 lakhs.

Answer

	₹
60% of the Equity Share Capital ₹ 100 Lakhs	60
60% of Accumulated Reserve ₹ 70 Lakhs (40 + 30) Lakhs	42
Book value of shares of Short Ltd.	**102**

(i) Goodwill/Capital Reserve computation on consolidation of balance sheet

Long Ltd. paid a positive differential of ₹ 10 Lakhs (112 – 102). This differential ₹ 10 Lakhs is called goodwill and is shown in the balance sheet under the head intangibles.

(ii) If Long Ltd. showed the investment in Short Ltd. at carrying amount of ₹ 104 Lakhs, then the goodwill will be ₹ 2 Lakhs.

(iii) If the consideration paid is ₹ 92 lakhs, then there would have been capital reserve amounting ₹ 10 Lakhs (102 – 92).

Question 2

A Ltd. acquired 70% of equity shares of B Ltd. on 1.4.20X1 at cost of ₹ 10,00,000 when B Ltd. had an equity share capital of ₹ 10,00,000 and reserves and surplus of ₹ 80,000. In the four consecutive years, B Ltd. fared badly and suffered losses of ₹ 2,50,000, ₹ 4,00,000, ₹ 5,00,000 and ₹ 1,20,000 respectively. Thereafter in 20X5-X6, B Ltd. experienced turnaround and registered an annual profit of ₹ 50,000. In the next two years i.e. 20X6-X7 and 20X7-X8, B Ltd. recorded annual profits of ₹ 1,00,000 and ₹ 1,50,000 respectively. Show the minority interests and cost of control at the end of each year for the purpose of consolidation.

Answer

The losses applicable to the minority in a consolidated subsidiary may exceed the minority interest in the equity of the subsidiary. In such cases, AS 21 prescribes that the excess, and any further losses applicable to the minority, are adjusted against the majority interest except to the extent that the minority has a binding obligation to, and is able to, make good the losses. If the subsidiary subsequently reports profits, all such profits are allocated to the majority interest until the minority's share of losses previously absorbed by the majority has been recovered.

Where minority interest has a binding obligation (say by way of a shareholders' agreement), then the share of losses will be attributed to minority interest even if it exceeds the minority interest in the equity (i.e., debit balance in minority interest). Since information on existence of a binding obligation is not given in question, we solve as if such obligation does not exist, and hence the minority interests will be computed as follows:

Year	Profit/(Loss)	Minority Interest (30%)	Additional Consolidated P&L (Dr.)/Cr. (for year ended balance)	Minority's Share of losses borne by A Ltd.		Cost of Control
				₹	Balance	
At time of acquisition in 20X1		3,24,000 (W.N.)				
20X1-X2	(2,50,000)	(75,000)	(1,75,000)			2,44,000 (W.N.)
Balance		2,49,000				
20X2-X3	(4,00,000)	(1,20,000)	(2,80,000)			2,44,000
Balance		1,29,000				
20X3-X4	(5,00,000)	(1,50,000)	(3,50,000)			2,44,000
		(21,000)				
	Loss of minority borne by Holding Co.	21,000	(21,000)	21,000	21,000	
Balance		Nil	(3,71,000)			
20X4-X5	(1,20,000)	(36,000)	(84,000)			2,44,000
	Loss of minority borne by Holding Co.	36,000	(36,000)	36,000	57,000	
Balance		Nil	(1,20,000)			
20X5-X6	50,000	15,000	35,000			2,44,000
	Profit share of minority adjusted against losses of minority absorbed by Holding Co.	(15,000)	15,000	(15,000)	42,000	
Balance		Nil	50,000			
20X6-X7	1,00,000	30,000	70,000			
	Profit share of minority adjusted against losses of minority absorbed by Holding Co.	(30,000)	30,000	(30,000)	12,000	2,44,000
Balance		Nil	100,000			
20X7-X8	1,50,000	45,000	1,05,000	(12,000)	Nil	2,44,000
	Profit of minority adjusted against losses of minority absorbed by Holding Co.	(12,000)	12,000			
Balance		33,000	1,17,000			

Working Note: Calculation of Minority interest and Cost of control on 1.4.20X1

		Share of Holding Co.	Minority Interest
	100%	70%	30%
Share Capital	10,00,000	7,00,000	3,00,000
Reserve	80,000	56,000	24,000
		7,56,000	3,24,000
Less: Cost of investment		(10,00,000)	
Goodwill		**2,44,000**	

Question 3

From the following data, determine in each case:

(1) Minority interest at the date of acquisition and at the date of consolidation.

(2) Goodwill or Capital Reserve.

(3) Amount of holding company's profit in the consolidated Balance Sheet assuming holding company's own Profit & Loss Account to be ₹ 2,00,000 in each case.

Case	Subsidiary Company	% shares owned	Cost	Date of acquisition		Consolidation Date	
				1.1.20X1		31.12.20X1	
				Share Capital	Profit & Loss Account	Share Capital	Profit & Loss Account
Case 1	A	90%	1,40,000	1,00,000	50,000	1,00,000	70,000
Case 2	B	85%	1,04,000	1,00,000	30,000	1,00,000	20,000
Case 3	C	80%	56,000	50,000	20,000	50,000	20,000
Case 4	D	100%	1,00,000	50,000	40,000	50,000	55,000

Answer

(1) Minority Interest = Equity attributable to minorities

Equity is the residual interest in the assets of an enterprise after deducting all its liabilities i.e. in this case it should be equal to Share Capital + Profit & Loss A/c

	Minority % Shares Owned	Minority interest as at the date of acquisition (₹)	Minority interest as at the date of consolidation (₹)
	[E]	[E] x [A + B]	[E] x [C + D]
Case 1 [100 – 90]	10%	15,000	17,000
Case 2 [100 – 85]	15%	19,500	18,000
Case 3 [100 – 80]	20%	14,000	14,000
Case 4 [100 – 100]	NIL	Nil	Nil

A = Share capital on 1.1.20X1

B = Profit & loss account balance on 1.1.20X1

C = Share capital on 31.12.20X1

D = Profit & loss account balance on 31.12.20X1

(2) Calculation of Goodwill or Capital Reserve

	Shareholding %	Cost	Total Equity	Parent's Portion of equity	Goodwill	Capital Reserve
	[F]	[G]	[A] + [B] = [C]	[F] x [C] = H	[G] – [H]	[H] – [G]
Case 1	90%	1,40,000	1,50,000	1,35,000	5,000	–
Case 2	85%	1,04,000	1,30,000	1,10,500	–	6,500
Case 3	80%	56,000	70,000	56,000	Nil	Nil
Case 4	100%	1,00,000	90,000	90,000	10,000	–

(3) The balance in the Profit & Loss Account:

On the date of acquisition (1.1.20X1) is Capital profit, as such the balance of Consolidated Profit & Loss Account shall be equal to Holding Co.'s profit.

On 31.12.20X1 in each case the following amount shall be added or deducted from the balance of holding Co.'s Profit & Loss account.

	% Share holding	P&L as on 1.1.20X1	P&L as on consolidate on date	P&L post-acquisition	Amount to be Adjusted from holding's P&L
	[K]	[L]	[M]	[N] = [M] – [L]	[O] = [K] x [N]
Case 1	90%	50,000	70,000	20,000	18,000
Case 2	85%	30,000	20,000	(10,000)	(8,500)
Case 3	80%	20,000	20,000	NIL	NIL
Case 4	100%	40,000	55,000	15,000	15,000

Preparation of Consolidated Balance Sheet

Question 4

Prepare consolidated balance sheet of H Ltd. and its subsidiary as at 31st March, 20X1 from the following information:

	H Ltd. (₹)	S Ltd. (₹)
PPE	5,00,000	3,00,000
Investments (20,000 equity shares of S Ltd.)	2,20,000	–
Current Assets	1,55,000	1,00,000
Share capital (Fully paid equity shares of ₹ 10 each)	5,00,000	2,50,000
Profit and loss account	2,00,000	1,00,000
Trade Payables	1,75,000	50,000

H Ltd. acquired the shares of S Ltd. on 31st March, 20X1.

Answer

Percentage of holding:

	No. of Shares	Percentage
Holding Co.	20,000	(80%)

Minority shareholders	5,000	(20%)
TOTAL SHARES	25,000	

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,00,000
	(b)	Reserves and Surplus	2	2,60,000
2		**Minority Interest**	3	70,000
3		**Current liabilities**	4	
	(a)	Trade Payables		2,25,000
		Total		**10,55,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	5	8,00,000
2		**Current assets**	6	2,55,000
		Total		**10,55,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share capital**		
	50,000 Equity Shares @ ₹ 10 each		**5,00,000**
2	**Reserve and Surplus**		
	Capital Reserve (W.N.)		60,000
	Profit and loss account		2,00,000
			2,60,000
3	**Minority Interest**		
	Paid up value of shares	50,000	
	Add: Share in Profit and loss account	20,000	**70,000**
4	**Trade payables**		
	H Ltd.		1,75,000
	S Ltd.		50,000
			2,25,000
5	**PPE**		
	H Ltd.		5,00,000
	S Ltd.		3,00,000
			8,00,000
6	**Current Assets**		
	H Ltd.		1,55,000

	S Ltd.		1,00,000
			2,55,000

Working Note:

Determination of Goodwill/(Capital Reserve)		**(₹)**
Cost of investment		2,20,000
Less: Paid up value of shares (80% of 2,50,000)	2,00,000	
Share in pre-acquisition profits (80% of 1,00,000)	80,000	(2,80,000)
Capital Reserve		**(60,000)**

Question 5

H Ltd. and S Ltd. provide the following information as at 31st March, 20X2:

	H Ltd. (₹)	**S Ltd. (₹)**
PPE	1,00,000	1,30,000
Investments (8,000 equity shares of S Ltd.)	1,26,000	
Current Assets	74,000	70,000
Share capital (Fully paid equity shares of ₹ 10 each)	1,50,000	1,00,000
Profit and loss account	50,000	40,000
Trade Payables	1,00,000	60,000

Additional information:

H Ltd. acquired the shares of S Ltd. on 1.7.20X1 and Balance of profit and loss account of S Ltd. on 1.4.20X1 was 30,000.

Prepare consolidated balance sheet of H Ltd. and its subsidiary as at 31st March, 20X2.

Answer

Percentage of holding:

	No. of Shares	**Percentage**
Holding Co.	8,000	(80%)
Minority shareholders	2,000	(20%)
TOTAL SHARES	10,000	

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X2

Particulars			**Notes**	**₹**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,50,000
	(b)	Reserves and Surplus	2	56,000
2		**Minority Interest**	3	28,000
3		**Current liabilities**		
	(a)	Trade Payables	4	1,60,000

		Total		**3,94,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	5	2,30,000
		Ii Intangible Asset	6	20,000
2		**Current assets**	7	1,44,000
		Total		**3,94,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share capital**		
	15,000 Equity Shares @ ₹ 10 each		**1,50,000**
2	**Reserve and Surplus**		
	Profit and loss account (₹ 50,000 + 80% of 9/12 x 10,000)		**56,000**
3	**Minority Interest**		
	Share capital (20% of ₹ 1,00,000)	20,000	
	Add: Share in Profit and loss account (₹ 40,000 x 20%)	8,000	**28,000**
4	**Trade payables**		
	H Ltd.		1,00,000
	S Ltd.		60,000
			1,60,000
5	**PPE**		
	H Ltd.		1,00,000
	S Ltd.		1,30,000
			2,30,000
6	**Intangible Asset**		
	Cost of Investment		1,26,000
	Less: Paid up value of shares (80% of ₹ 1,00,000)	(80,000)	
	Share in pre profits [80% of {30,000 + 3/12 (40,000 – 30,000)}]	(26,000)	(1,06,000)
	Goodwill		**20,000**
7	**Current Assets**		
	H Ltd.		74,000
	S Ltd.		70,000
			1,44,000

Question 6

From the Balance Sheets and information given below, prepare Consolidated Balance Sheet of Virat Ltd. and Anushka Ltd. as at 31st March, 20X1. Virat Ltd. holds 80% of Equity Shares in Anushka Ltd. since its (Anushka Ltd.'s) incorporation.

Balance Sheet of Virat Ltd. and Anushka Ltd. as at 31st March, 20X1

Particulars			Notes	Virat Ltd. (₹)	Anushka Ltd. (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	6,00,000	4,00,000
	(b)	Reserves and Surplus	2	1,00,000	1,00,000
2		**Non-current liabilities**			
	(a)	Long term borrowings		2,00,000	1,00,000
3		**Current liabilities**			
	(a)	Trade Payables		1,00,000	1,00,000
		Total		**10,00,000**	**7,00,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and Equipment and intangible asset			
		i Property, plant and Equipment		4,00,000	3,00,000
	(b)	Non current investment	3	3,20,000	–
2		**Current assets**			
	(a)	Inventories		1,60,000	2,00,000
	(b)	Trade receivables		80,000	1,40,000
	(c)	Cash and Cash equivalents		40,000	60,000
		Total		**10,00,000**	**7,00,000**

Notes to Accounts

	Particulars	Virat Ltd. (₹)	Anushka Ltd. (₹)
1.	**Share capital**		
	60,000 equity shares of ₹ 10 each fully paid up	6,00,000	–
	40,000 equity shares of ₹ 10 each fully paid up	–	4,00,000
	Total	**6,00,000**	**4,00,000**
2.	**Reserves and Surplus**		
	General Reserve	1,00,000	1,00,000
	Total	**1,00,000**	**1,00,000**
3.	**Non-current investments**		
	Shares in Anushka Ltd	3,20,000	–

Answer

Consolidated balance Sheet of Virat Ltd. and its Subsidiary Anushka Ltd.as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,00,000
	(b)	Reserves and Surplus	2	1,80,000

2		**Minority Interest**	3	1,00,000
3		**Non-current liabilities**		
	(a)	Long term borrowings	4	3,00,000
4		**Current liabilities**		
	(a)	Trade Payables	5	2,00,000
		Total		**13,80,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	6	7,00,000
2		**Current assets**		
	(a)	Inventories	7	3,60,000
	(b)	Trade receivables	8	2,20,000
	(c)	Cash and Cash equivalents	9	1,00,000
		Total		**13,80,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share capital**		
	60,000 equity shares of ₹10 each fully paid up		**6,00,000**
2	**Reserves and Surplus**		
	General Reserve	1,00,000	
	Add: General reserve of Anushka Ltd (80%)	80,000	**1,80,000**
3	**Minority interest**		
	20% share in Anushka Ltd (WN 3)		**1,00,000**
4	**Long term borrowings**		
	Long term borrowings of Virat	2,00,000	
	Add: Long term borrowings of Anushka Total	1,00,000	**3,00,000**
5.	**Trade payables**		
	Trade payables of Virat	1,00,000	
	Add: Trade payables of Anushka	1,00,000	**2,00,000**
6.	**Property, Plant and Equipment (PPE)**		
	PPE of Virat Ltd	4,00,000	
	Add: PPE of Anushka Ltd	3,00,000	**7,00,000**
7.	**Inventories**		
	Inventories of Virat Ltd	1,60,000	
	Add: Inventories of Anushka Ltd	2,00,000	**3,60,000**
8.	**Trade receivables**		
	Trade receivables of Virat Ltd	80,000	
	Add: Trade receivables of Anushka Ltd	1,40,000	**2,20,000**
9	**Cash and cash equivalents**		

	Cash and cash equivalents of Virat Ltd	40,000	
	Add: Cash and cash equivalents of Anushka Ltd	60,000	**1,00,000**

Working Notes:

1. Basic Information

Company Status	Dates	Holding Status
Holding Co. = Virat Ltd. Subsidiary = Anushka Ltd.	Acquisition: Anushka's Incorporation Consolidation: 31st March, 20X1	Holding Company = 80% Minority Interest = 20%

2. Analysis of General Reserves of Anushka Ltd

Since Virat holds shares in Anushka since its incorporation, the entire Reserve balance of ₹1,00,000 will be Revenue nature.

3. Consolidation of Balances

Holding: 80%, Minority: 20%	Total	Minority Int.	Holding Company	
Equity Capital	4,00,000	80,000	3,20,000	–
General Reserves	1,00,000	20,000	Nil (pre-acq)	80,000 (post-acq)
Total		1,00,000	3,20,000	80,000
Cost of Investment			(3,20,000)	–
Goodwill/capital reserve			NIL	
Parent's Balance				1,00,000
Amount for Consolidated Balance Sheet				1,80,000

Consolidated Balance Sheet [With Mutual Debt, Stock Reserve & Cash in Transit]

Question 7

The summarized Balance Sheets of Super Limited and Clear Limited as on 31st March, 20X1 is as below:

Particulars			Note	Super Ltd. (₹)	Clear Ltd (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	95,00,000	50,00,000
	(b)	Reserve and surplus	2	25,75,000	12,25,000
2		**Non–current liabilities**			
	(a)	Long-term borrowings	3	5,00,000	2,00,000
3		**Current liabilities**			
	(a)	Short-term borrowings		4,50,000	–
	(b)	Trade Payables		3,65,000	2,45,000
		Total		**1,33,90,000**	**66,70,000**
		Assets			
1		**Non–current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	77,00,000	54,00,000

	(b)	Non-current investment	5	41,50,000	–
		Current Assets			
	(a)	Inventories		6,75,000	5,65,000
	(b)	Trade receivables		5,85,000	4,90,000
	(c)	Cash and Cash equivalents		2,80,000	2,15,000
		Total		**1,33,90,000**	**66,70,000**

Notes to accounts

S. No.	Particulars	Super Ltd. (₹)	Clear Ltd (₹)
1.	**Share Capital**		
	8,00,000 Equity Shares of ₹ 10 each fully paid up	80,00,000	–
	5,00,000 Equity Shares of ₹ 10 each fully paid up	–	50,00,000
	15,000 Preference Shares of ₹ 100 each fully paid up	15,00,000	–
		95,00,000	**50,00,000**
2.	**Reserves and Surplus**		
	General Reserve	15,50,000	6,50,000
	Profit and Loss Account	10,25,000	5,75,000
		25,75,000	**12,25,000**
3.	**Long-term borrowings**		
	10% Debentures	5,00,000	–
	9% Debentures	–	2,00,000
4.	**Property, plant & equipment**		
	Land & Building	65,00,000	45,50,000
	Plant & Machinery	9,50,000	6,75,000
	Furniture & Fittings	2,50,000	1,75,000
		77,00,000	**54,00,000**
5.	**Non-Current Investment**		
	Investment in Clear Limited	41,50,000	–

Additional Information:

(1) Super Limited holds 75% of Equity Shares in Clear Limited since the incorporation of Clear Limited.

(2) 25% of Trade Receivables of Super Limited is due from Clear Limited.

(3) During the year Super Limited sold inventory costing ₹ 2,00,000 to Clear Limited at a price of 15% above cost. The entire inventory remains unsold with Clear Limited at the end of financial year.

You are required to prepare Consolidated Balance Sheet of Super Limited and Clear Limited as on 31st March, 20X1.

Answer

Consolidated Balance Sheet of Super Ltd. and its subsidiary Clear Ltd. as at 31st March, 20X1

Particulars			Note No.	₹
		Equity and Liabilities		
1		**Shareholders' funds**		

	(a)	Share capital	1	95,00,000
	(b)	Reserve and surplus	2	34,63,750
2		**Minority Interest** [W.N. 4]		15,56,250
3		**Non–current liabilities**		
	(a)	Long term borrowings	3	7,00,000
4		**Current liabilities**		
	(a)	Short term borrowings		4,50,000
	(b)	Trade Payables	4	4,63,750
		Total		**1,61,33,750**
		Assets		
1		**Non–current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	5	1,31,00,000
		ii Intangible Asset (Goodwill)		4,00,000
2		**Current Assets**		
	(a)	Inventory	6	12,10,000
	(b)	Trade receivables	7	9,28,750
	(c)	Cash and Cash equivalents		4,95,000
		Total		**1,61,33,750**

Notes to ₹accounts

S. No.	Particulars	₹	₹
1.	**Share Capital**		
	Equity Share Capital		
	8,00,000 Equity Shares of ₹ 10 each fully paid up		80,00,000
	Preference Share Capital		
	15,000 Preference Shares of ₹ 100 each fully paid up		15,00,000
			95,00,000
2.	**Reserves and Surplus**		
	General Reserve (WN 5)		20,37,500
	Profit & Loss A/c (WN 5)		14,26,250
			34,63,750
3.	**Long–term borrowings**		
	10% Debentures		5,00,000
	9% Debentures		2,00,000
			7,00,000
4.	**Trade Payables**		
	Super Ltd.	3,65,000	
	Clear Ltd.	2,45,000	
	Less: Mutual Owing	(1,46,250)	**4,63,750**
5.	**Property, plant & equipment**		

	Land & Building		
	Super Ltd.	65,00,000	
	Clear Ltd.	45,50,000	1,10,50,000
	Plant & Machinery		
	Super Ltd.	9,50,000	
	Clear Ltd.	6,75,000	16,25,000
	Furniture & Fittings		
	Super Ltd.	2,50,000	
	Clear Ltd.	1,75,000	4,25,000
			1,31,00,000
6.	**Inventory**		
	Super Ltd.	6,75,000	
	Clear Ltd.	5,65,000	
	Less: Unrealized profit	(30,000)	**12,10,000**
7.	**Trade Receivables**		
	Super Ltd.	5,85,000	
	Clear Ltd.	4,90,000	
	Less: Mutual Owing	(1,46,250)	**9,28,750**

Working Notes:

1. Shareholding Pattern

Super Ltd	5,00,000 Shares
Holding 75%	3,75,000 shares
Minority Interest 25%	1,25,000 shares

2. Analysis of Profit of Clear Ltd.

	Capital Profit	Revenue Reserve	Revenue Profit
Opening Balance of General Reserve	–	6,50,000	–
Opening Balance of P&L	–	–	5,75,000
Total (₹)		**6,50,000**	**5,75,000**
Share of Minority (25%)		1,62,500	1,43,750
Share of Holding (75%)		4,87,500	4,31,250

3. Computation of Cost of Control (Goodwill/Capital Reserve)

	Computation	₹
Cost of Investment	Given	41,50,000
Less: Share of Equity Capital in Clear Ltd.	(50,00,000 x 75%)	(37,50,000)
Less: Pre-acquisition Profit	WN 2	–
Goodwill		**4,00,000**

4. Calculation of Minority Interest

Particulars	Computation	₹

Share in Equity Share Capital	50,00,000 x 25%	12,50,000
Share in Revenue Reserve	6,50,000 x 25%	1,62,500
Share in profit & loss	5,75,000 x 25%	1,43,750
Total		**15,56,250**

5. General Reserve and Consolidated Profit & Loss A/c

Particulars	**General Reserve**	**Profit & Loss A/c**
Balance from Balance Sheet	15,50,000	10,25,000
Revenue Profit (WN 2)	–	4,31,250
Revenue Reserve (WN 2)	4,87,500	–
Unrealized Profit	–	(30,000)
Total	**20,37,500**	**14,26,250**

Question 8

White Ltd. acquired 2,250 shares of Black Ltd. on 1st October, 20X1. The summarized balance sheets of both the companies as on 31st March, 20X2 are given below:

		White Ltd. (₹)	**Black Ltd. (₹)**
(I)	**Equity and Liabilities**		
(1)	**Shareholder's fund**		
	Share capital (Equity shares of ₹ 100 each fully paid up)	6,50,000	3,00,000
	Reserves and Surplus		
	General Reserve	60,000	30,000
	Profit and loss account	1,50,000	90,000
(2)	**Current Liabilities**		
	Trade payables	1,15,000	75,000
	Due to White Ltd.	–	30,000
	Total	**9,75,000**	**5,25,000**
(II)	**Assets:**		
(1)	**Non-current assets**		
	Property, Plant and Equipment	5,80,000	3,51,000
	Investments: Shares in Black Ltd. (2,250 shares)	2,70,000	–
(2)	**Current assets**		
	Inventories	50,000	1,20,000
	Due from Black Ltd.	36,000	–
	Cash and Cash equivalents	39,000	54,000
	Total	**9,75,000**	**5,25,000**

Other information:

(i) During the year, Black Limited fabricated a machine, which is sold to White Ltd. for ₹ 39,000, the transaction being completed on 30th March, 20X2.

(ii) Cash in transit from Black Ltd. to White Ltd. was ₹ 6,000 on 31st March, 20X2.

(iii) Profits during the year 20X1-20X2 were earned evenly.

(iv) The balances of General Reserve and Profit and Loss account as on 1st April, 20X1 were as follows:

	General Reserve	Profit & Loss A/c
White Ltd.	30,000	15,000 Profit
Black Ltd.	30,000	10,000 Loss

You are required to prepare consolidated Balance Sheet of the group as on 31st March, 20X2 as per the requirement of Schedule III of the Companies Act, 2013.

Answer

Consolidated Balance Sheet of White Ltd. and its Subsidiary Black Ltd. as at 31st March, 20X2

Particulars			Note No.	(₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,50,000
	(b)	Reserves and Surplus	2	2,55,000
2		**Minority Interest**	3	1,05,000
3		**Current liabilities**		
	(a)	Trade Payables	4	1,90,000
		Total		**12,00,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	9,31,000
2		**Current Assets**		
	(a)	Inventories	6	1,70,000
	(b)	Cash and Cash equivalents	7	99,000
		Total		**12,00,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share capital**		
	6,500 equity shares of ₹ 100 each, fully paid up		**6,50,000**
2	**Reserves and Surplus**		
	General Reserves		60,000
	Profit and Loss Account	1,50,000	
	Add: 75% share of Black Ltd.'s post-acquisition profits (W.N.1)	37,500	1,87,500
	Capital reserve (W.N. 5)		7,500
			2,55,000
3.	**Minority interest in Black Ltd. (WN 4)**		**1,05,000**
4.	**Trade payables**		
	White Ltd.	1,15,000	

	Black Ltd.	75,000	**1,90,000**
5.	**Property, plant and equipment**		
	White Ltd.	5,80,000	
	Black Ltd.	3,51,000	**9,31,000**
6	**Inventory**		
	White Ltd.	50,000	
	Black Ltd.	1,20,000	**1,70,000**
7	**Cash & cash equivalent**		
	White Ltd.	39,000	
	Black Ltd.	54,000	
	Cash in transit	6,000	**99,000**

Working Notes:

1.	**Post-acquisition profits of Black Ltd.**		**₹**
	Profits earned during the year [₹ 90,000 + ₹ 10,000]		1,00,000
	Pre-acquisition profits (1.4.X1 to 30.9.X1)		50,000
	Post-acquisition profits (1.10.X1 to 31.3.X2)		50,000
	White Ltd.'s share 75% of 50,000		**37,500**
	Minority Interest 25% of 50,000		**12,500**
2.	**Pre-acquisition profits and reserves of Black Ltd.**		
	Reserves as on 1.4.20X1		30,000
	Profit and Loss Account [10,000 (loss as on 1.4.X1) + 50,000 (6 month Adjusted pre-acquisition profits)]		40,000
			70,000
	White Ltd.'s = (75%) x 70,000		**52,500**
	Minority Interest = (25%) x 70,000		**17,500**
3.	**Post-acquisition reserves of Black Ltd.**		
	Post-acq. reserves (Total reserves less pre-acquisition reserves = ₹ 30,000 – 30,000)		**Nil**
4.	**Minority Interest**		
	Paid-up value of (3,000 – 2,250) = 750 shares held by outsiders i.e. 750 x ₹ 100		75,000
	Add: 25% share of pre-acquisition reserves & Profit		17,500
	25% share of post-acquisition profit		12,500
			1,05,000
5.	**Capital Reserve**		
	Price paid by White Ltd. for 2,250 shares	**(A)**	2,70,000
	Intrinsic value of the shares:		
	Paid-up value of 2,250 shares held by White Ltd. i.e. 2,250 x ₹ 100	2,25,000	
	Add: 75% share of pre-acquisition reserves & profit (70,000 x 75%)	52,500	
		(B)	2,77,500
	Capital reserve	**(A – B)**	**7,500**

Consolidated Balance Sheet [With Revaluation of Assets of Subsidiary]

Question 9

King Ltd. acquires 70% of equity shares of Queen Ltd. as on 31st March, 20X1 at a cost of ₹ 140 lakhs. The following information is available from the balance sheet of Queen Ltd. as on 31st March, 20X1:

	₹ in lakhs
Property, plant and equipment	240
Investments	110
Current Assets	140
Loans & Advances	30
15% Debentures	180
Current Liabilities	100

The following revaluations have been agreed upon (not included in the above figures):

Property, plant and equipment: up by 20% and Investments: down by 10%.

King Ltd. purchased the shares of Queen Ltd. @ ₹ 20 per share (Face value: ₹10).

Calculate the amount of goodwill/capital reserve on acquisition of shares of Queen Ltd.

Answer

Revalued net assets of Queen Ltd. as on 31st March, 20X1

	₹ in lakhs	₹ in lakhs
PPE [240 x 120%]		288
Investments [110 x 90%]		99
Current Assets		140
Loans and Advances		30
Total Assets after revaluation		557
Less: 15% Debentures	180.0	
Current Liabilities	100.0	(280)
Equity/Net Worth		277
King Ltd.'s share of net assets (70% of 277)		193.9
King Ltd.'s cost of acquisition of shares of Queen Ltd.		(140)
Capital reserve		**53.9**

Question 10

Variety Ltd. holds 46% of the paid-up share capital of VR Ltd. The shares were acquired at a market price of ₹ 17 per share. The balance of shares of VR Ltd. are held by a foreign collaborating company. A memorandum of understanding has been entered into with the foreign company providing for the following:

(a) The shares held by the foreign company will be sold to Variety Ltd. The price per share will be calculated by capitalising the yield at 15%. Yield, for this purpose, would mean 40% of the average of pre-tax profits for the last 3 years, which were ₹ 30 lakhs, ₹ 40 lakhs and ₹ 65 lakhs.

(b) The actual cost of the shares to the foreign company was ₹ 5,40,000 only. The profit that would accrue

to them would be taxable at an average rate of 30%. The tax payable will be deducted from the proceeds and Variety Ltd. will pay it to the Government.

(c) Out of the net consideration, 50% would be remitted to the foreign company immediately and the balance will be an unsecured loan repayable after two years.

The above agreement was approved by all concerned for being given effect to on 1.4.20X1. The total assets of VR Ltd. as on 31st March, 20X1 was ₹ 1,00,00,000. It was decided to write down Property, Plant and Equipment by ₹ 1,75,000. Current liabilities of VR Ltd. as on the same date were ₹ 20,00,000. The paid-up share capital of VR Ltd. was ₹ 20,00,000 divided into 2,00,000 equity shares of ₹ 10 each.

Find out goodwill/capital reserve to Variety Ltd. on acquiring wholly the shares of VR Ltd.

Answer

1. Computation of Purchase Consideration

(a) Yield of VR Ltd.:

[(30 + 40 + 65)/3] x 40% = 18 lakhs

(b) Price per share of VR Ltd.:

Capitalized Yield = 18 Lakhs/0.15 = ₹ 120 lakhs

No. of shares = 2 lakhs

Therefore, price per share = ₹ 120 lakhs/2 lakhs = ₹ 60

(c) Purchase Consideration for 54% shares in VR Ltd.:

= 2 lakh shares x 54% x ₹ 60 per shares

= ₹ 64.80 lakhs

(d) Discharge of Purchase Consideration:

Tax at source (₹ 64.80 lakhs – ₹ 5.40 lakhs) x 30% = ₹ 17.82 lakhs

50% of purchase consideration (net of tax) in cash [₹ (64.80 – 17.82) x 50%] = ₹ 23.49 lakhs

Balance – Unsecured Loan = ₹ 23.49 lakhs

2. Goodwill/Capital Reserve to Variety Ltd.

	₹ in lakhs	
Total Assets	100.00	
Less: Reduction in Value of Property, Plant and Equipment	(1.75)	
	98.25	
Less: Current Liabilities	(20.00)	
Net Assets of VR Ltd. on Date of Acquisition		78.25
Purchase Consideration: 54% purchased from Foreign Co.	64.80	
Investment: 46% existing stake	15.64	(80.44)
Goodwill on Date of Acquisition		**2.19**

Question 11

From the following balance sheets of H Ltd. and its subsidiary S Ltd. drawn up at 31st March, 20X1, prepare a consolidated balance sheet as at that date, having regard to the following:

(i) General Reserves and Profit and Loss Account of S Ltd. stood at ₹ 25,000 and ₹ 15,000 respectively on the date of acquisition of its 80% shares by H Ltd. on 1st April, 20X0.

(ii) Machinery (Book value ₹ 1,00,000) and Furniture (Book value ₹ 20,000) of S Ltd. were revalued at ₹ 1,50,000 and ₹ 15,000 respectively on 1st April, 20X0 for the purpose of fixing the price of its shares. [Rates of depreciation computed on the basis of useful lives: Machinery 10%, Furniture 15%.]

Balance Sheet of H Ltd. and S Ltd. as at 31st March, 20X1

Particulars			Notes	H Ltd. (₹)	S Ltd. (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	6,00,000	1,00,000
	(b)	Reserves and Surplus	2	3,00,000	1,00,000
2		**Current liabilities**			
	(a)	Trade Payables		1,50,000	57,000
		Total		**10,50,000**	**2,57,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	3	4,50,000	1,07,000
	(b)	Non-current investment	4	6,00,000	1,50,000
		Total		**10,50,000**	**2,57,000**

Notes to Accounts

		H Ltd. (₹)	S Ltd. (₹)
1.	**Share capital**		
	6,000 equity shares of ₹ 100 each, fully paid up	6,00,000	–
	1,000 equity shares of ₹ 100 each, fully paid up	–	1,00,000
	Total	**6,00,000**	**1,00,000**
2.	**Reserves and Surplus**		
	General reserves	2,00,000	75,000
	Profit and loss account	1,00,000	25,000
	Total	**3,00,000**	**1,00,000**
3.	**Property, Plant and Equipment**		
	Machinery	3,00,000	90,000
	Furniture	1,50,000	17,000
	Total	**4,50,000**	**1,07,000**
4.	**Other non-current investments**		
	Non-current Investments	4,40,000	1,50,000
	Shares in S Ltd. (800 shares at ₹ 200 each)	1,60,000	–
	Total	**6,00,000**	**1,50,000**

Answer

Consolidated Balance Sheet of H Ltd. and its Subsidiary S Ltd. as at 31st March, 20X1

Particulars			Notes	(₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,00,000
	(b)	Reserves and Surplus	2	3,44,600
2		**Minority Interest**	3	48,150
3		**Current liabilities**		
	(a)	Trade Payables		2,07,000
		Total		**11,99,750**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	5,97,750
		ii Intangible Asset	5	12,000
	(b)	Noncurrent investment	6	5,90,000
		Total		**11,99,750**

Notes to Accounts

S. No.	Particulars		₹	₹
1	**Share capital**			
	6,000 equity shares of ₹ 100 each, fully paid up			**6,00,000**
2	**Reserves and Surplus**			
	General Reserves		2,00,000	
	Add: 4/5th share of S Ltd.'s post-acquisition reserves (W.N.3)		40,000	2,40,000
	Profit and Loss Account		1,00,000	
	Add: 4/5th share of S Ltd.'s post-acquisition profits (W.N.4)		4,600	1,04,600
				3,44,600
3	**Minority interest in S Ltd. (WN 5)**			**48,150**
4	**Property, plant and equipment**			
	Machinery:			
	H Ltd.		3,00,000	
	S Ltd.	1,00,000		
	Add: Appreciation	50,000		
		1,50,000		
	Less: Depreciation (1,50,000 x 10%)	(15,000)	1,35,000	4,35,000
	Furniture:			
	H Ltd.		1,50,000	
	S Ltd.	20,000		
	Less: Decrease in value	(5,000)		
		15,000		

	Less: Depreciation (15,000 x 15%)	(2,250)	12,750	1,62,750
				5,97,750
5	**Intangible assets**			
	Goodwill [WN 6]			**12,000**
6	**Other non-current investments**			
	H Ltd.			4,40,000
	S Ltd.			1,50,000
				5,90,000

Working Notes:

S. No.	Particulars	₹
1	**Pre-acquisition profits and reserves of S Ltd.**	
	Reserves	25,000
	Profit and Loss Account	15,000
		40,000
	H Ltd.'s = 4/5 (or 80%) x 40,000	32,000
	Minority Interest = 1/5 (or 20%) × 40,000	8,000
2	**Profit on revaluation of assets of S Ltd.**	
	Profit on Machinery ₹ (1,50,000 – 1,00,000)	50,000
	Less: Loss on Furniture ₹ (20,000 – 15,000)	5,000
	Net Profit on revaluation	45,000
	H Ltd.'s share [4/5 x 45,000]	36,000
	Minority Interest [1/5 x 45,000]	9,000
3	**Post-acquisition reserves of S Ltd.**	
	Post-acquisition reserves (Total reserves less pre-acq. reserves = ₹ 75,000 – 25,000)	50,000
	H Ltd.'s share [4/5 x 50,000]	40,000
	Minority interest [1/5 x 50,000]	10,000
4	**Post-acquisition profits of S Ltd.**	
	Post-acquisition profits (P&L balance less pre-acquisition profits = ₹ 25,000 – 15,000)	10,000
	Add: Excess dep. charged on furniture @ 15% on ₹ 5,000 i.e. (20,000 – 15,000)	750
		10,750
	Less: Under dep. on machinery @ 10% on ₹ 50,000 i.e. (1,50,000 – 1,00,000)	(5,000)
	Adjusted post-acquisition profits	5,750
	H Ltd.'s share [4/5 x 5,750]	4,600
	Minority Interest [1/5 x 5,750]	1,150
5	**Minority Interest**	
	Paid-up value of 200 shares held by outsiders i.e. 200 x ₹ 100 or (1,00,000 x 20%)	20,000
	Add: 1/5th share of pre-acquisition profits and reserves	8,000
	1/5th share of profit on revaluation	9,000
	1/5th share of post-acquisition reserves	10,000
	1/5th share of post-acquisition profit	1,150

			48,150
6	**Cost of Control or Goodwill**		
	Price paid by H Ltd. for 800 shares	(A)	1,60,000
	Intrinsic value of the shares:		
	Paid-up value of 800 shares held by H Ltd. i.e. 800 x ₹ 100 or (1,00,000 x 80%)		80,000
	Add: 4/5th share of pre-acquisition profits and reserves		32,000
	4/5th share of profit on the revaluation		36,000
	Intrinsic value of shares on the date of acquisition	(B)	1,48,000
	Cost of control or Goodwill	(A – B)	12,000

Question 12

The following are the extract of balance sheet of P Ltd., and its subsidiary Q Ltd., as at 31st March 20X2:

		Particulars	**P Ltd. (₹)**	**Q Ltd. (₹)**
		Equity & Liabilities		
(1)		**Shareholders' Funds**		
	(a)	Share capital (Equity shares of ₹100 each fully paid up)	16,00,000	4,00,000
	(b)	Reserve & Surplus	2,00,000	80,000
(2)		**Current liability**	30,00,000	19,20,000
		Total	**48,00,000**	**24,00,000**
		Assets		
(1)		**Non-current assets**		
	(a)	PPE	10,00,000	3,80,000
(2)		**Investment**		
		3,600 equity shares in Q Ltd. on 1st April 20X1	5,60,000	–
(3)		**Current Assets**		
	(a)	Other current assets	32,40,000	20,20,000
		Total	**48,00,000**	**24,00,000**

On 1st April 20X1, Profit & Loss A/c of Q Ltd. showed a credit balance of ₹ 32,000 and equipment of Q Ltd. was revalued by P Ltd. 20% above its book value of ₹ 4,00,000 (but no such adjustment effected in the books of Q Ltd.). Prepare the consolidated balance sheet as at 31st March 20X2.

Answer

Consolidated Balance Sheet of P Ltd. and its Subsidiary Q ltd. as on 31.3.20X2

		Particulars	**Note No.**	**₹**
		Equity & Liabilities		
(1)		**Shareholders' Funds**		
	(a)	Share capital	1	16,00,000
	(b)	Reserve & Surplus	2	2,39,600
(2)		**Minority Interest**		55,600

(3)		**Current liability**		
	(a)	Other Current Liabilities (30,00,000 + 19,20,000)		49,20,000
		Total		**68,15,200**
		Assets		
(1)		**Non-current assets**		
	(a)	PPE (10,00,000 + 3,80,000 + 80,000 – 4,000)		14,56,000
	(b)	Intangible Asset (Goodwill)		99,200
(3)		**Current Assets**		
	(a)	Other current assets (32,40,000 + 20,20,000)		52,60,000
		Total		**68,15,200**

Notes to accounts

		₹
1.	**Share capital**	
	Authorized share capital	–
	Issued, subscribed & paid-up capital	
	16,000 equity shares of ₹ 100 each	**16,00,000**
2.	**Reserve & Surplus**	
	Profit & Loss A/c (W.N. 5)	**2,39,600**

Working Notes:

1. Shareholding

Held by P Ltd.	Minority interest
3,600 shares (90%)	400 shares (10%)

2. Analysis of profit

Profit & Loss A/c

Particulars	₹	Particulars	₹
To Bal. c/d	80,000	By Bal. b/d	32,000
		By Profit	48,000
	80,000		**80,000**

Particulars	Capital profit	Revenue profit
Opening balance in P&L A/c	32,000	–
Profit during the year	–	48,000
Revaluation of equipment (W.N.6)	80,000	–
Short depreciation on equipment	–	(4,000)
Total	**1,12,000**	**44,000**
Q Ltd. (Minority) (10%)	11,200	4,400
P Ltd. (90%)	1,00,800	39,600

2. Cost of Control

Particulars	Computation	₹
Cost of investment	As per balance sheet	5,60,000
Less: Dividend out of pre-acquisition profit		–
	(A)	**5,60,000**
Share in net assets of Q ltd.:		
Share capital	4,00,000 x 90%	3,60,000
Capital profit	W.N. 2	1,00,800
	(B)	**4,60,800**
Goodwill	**A – B**	**99,200**

3. Calculation of Minority Interest

Particulars	Computation	₹
Share capital	4,00,000 x 10%	40,000
Capital profit	WN 2	11,200
Revenue profit	WN 2	4,400
Total	**[i + ii + iii]**	**55,600**

4. Calculation of Minority Interest

Particulars	General Reserve	Profit & Loss A/c
Balance As Per Balance sheet	–	2,00,000
Share in profit of Q ltd.	–	39,600
Total	–	**2,39,600**

5. Appreciation/Depreciation on revalued asset

Particulars		₹
Book value as on 31.3.X2 (As per B/S)	(i)	3,80,000
Book value as on 1.4.X1 (Given)	(ii)	4,00,000
Depreciation	(iii)	20,000
Depreciation rate (iii/ii x 100%)		5%
Revaluation of asset (ii + 20%)		4,80,000
Revaluation reserve		80,000
Depreciation on revalued asset (4,80,000 x 5%)		24,000
Short depreciation		4,000

Question 13

The following summarised Balance Sheets of H Ltd. and its subsidiary S Ltd. as on 31st March, 20X2:

	H Ltd. (₹)	S Ltd. (₹)
Equity and Liabilities		
Shareholders' Funds		
Equity Share Capital (fully paid-up shares of ₹ 10 each)	12,00,000	2,00,000
Reserves and Surplus		

General Reserve	4,35,000	1,55,000
Profit and Loss Account	2,80,000	65,000
Current Liabilities		
Trade Payables	3,22,000	1,23,000
Total	**22,37,000**	**5,43,000**
	H Ltd. (₹)	**S Ltd. (₹)**
Assets		
Non-Current Assets		
Machinery	6,40,000	1,80,000
Furniture	3,75,000	34,000
Non-Current Investments		
Shares in S Ltd. - 16,000 shares @ ₹ 20 each	3,20,000	–
Current Assets		
Inventories	2,68,000	62,000
Trade Receivables	4,70,000	2,35,000
Cash and Bank	1,64,000	32,000
Total	**22,37,000**	**5,43,000**

H Ltd. acquired the 80% shares of S Ltd. on 1st April, 20X1. On the date of acquisition, General Reserve and Profit Loss Account of S Ltd. stood at ₹ 50,000 and ₹ 30,000 respectively.

Machinery (book value ₹ 2,00,000) and Furniture (book value ₹ 40,000) of S Ltd. were revalued at ₹ 3,00,000 and ₹ 30,000 respectively on 1st April, 20X1 for the purpose of fixing the price of its shares (rates of depreciation computed on the basis of useful lives: Machinery 10% and Furniture 15%). Trade Payables of H Ltd. include ₹ 35,000 due to S Ltd. for goods supplied since the acquisition of the shares. These goods are charged at 10% above cost. The inventories of H Ltd. include goods worth ₹ 55,000 purchased from S Ltd.

You are required to prepare the Consolidated Balance Sheet as at 31st March, 20X2.

Answer

Consolidated Balance Sheet of H Ltd. and its Subsidiary S Ltd. as at 31st March, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital (1,20,000 equity shares of ₹ 10 each)		12,00,000
	(b)	Reserves and Surplus	1	8,16,200
2		**Minority Interest**		99,300
3		**Current liabilities**		
	(a)	Trade Payables	2	4,10,000
		Total		**25,25,500**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	13,10,500

		ii Intangible Asset	4	24,000
2		**Current assets**		
	(a)	Inventories	5	3,25,000
	(b)	Trade receivables	6	6,70,000
	(c)	Cash and Cash equivalents	7	1,96,000
		Total		**25,25,500**

Notes to Accounts

S. No.	Particulars		₹	₹
1	**Reserves and Surplus**			
	General Reserves		4,35,000	
	Add: 80% share of S Ltd.'s post-acquisition reserves (W.N.3)		84,000	5,19,000
	Profit and Loss Account		2,80,000	
	Add: 80% share of S Ltd.'s post-acquisition profits (W.N.3)		21,200	
	Less: Unrealised gain		(4,000)	2,97,200
				8,16,200
2	**Trade Payables**			
	H Ltd.		3,22,000	
	S Ltd.		1,23,000	
	Less: Mutual transaction		(35,000)	**4,10,000**
3	**Property, plant and equipment**			
	Machinery:			
	H Ltd.		6,40,000	
	S Ltd.	2,00,000		
	Add: Appreciation	1,00,000		
		3,00,000		
	Less: Depreciation	(30,000)	2,70,000	9,10,000
	Furniture:			
	H Ltd.		3,75,000	
	S Ltd.	40,000		
	Less: Decrease in value	(10,000)		
		30,000		
	Less: Depreciation	(4,500)	25,500	4,00,500
				13,10,500
4	**Intangible assets**			
	Goodwill [WN 5]			**24,000**
5	**Inventories**			
	H Ltd.		2,68,000	
	S Ltd.		62,000	3,30,000
	Less: Inventory reserve			(5,000)
				3,25,000

6	**Trade Receivables**			
	H Ltd.	4,70,000		
	S Ltd.	2,35,000	7,05,000	
	Less: Mutual transaction		(35,000)	**6,70,000**
7	**Cash and Bank**			
	H Ltd.		1,64,000	
	S Ltd.		32,000	**1,96,000**

Working Notes:

1. Profit or loss on revaluation of assets in the books of S Ltd. and their book values as on 1.4.20X1

	₹
Machinery:	
Revaluation as on 1.4.20X1	3,00,000
Less: Book value as on 1.4.20X1	(2,00,000)
Profit on revaluation	**1,00,000**
Furniture:	
Revaluation as on 1.4.20X1	30,000
Less: Book value as on 1.4.20X1	(40,000)
Loss on revaluation	**(10,000)**

2. Calculation of short/excess depreciation

	Machinery	Furniture
Upward/(Downward) Revaluation (W.N. 4)	1,00,000	(10,000)
Rate of depreciation	10% p.a.	15% p.a.
Difference [(short)/excess]	(10,000)	1,500

3. Analysis of reserves and profits of S Ltd. as on 31.03.20X2

	Pre-acquisition profit upto 1.4.20X1 (Capital profits)	Post-acquisition profits (1.4.20X1 – 31.3.20X2)	
		General Reserve	Profit and loss account
General reserve as on 31.3.20X2	50,000	1,05,000	–
Profit and loss account as on 31.3.20X2	30,000	–	35,000
Upward Revaluation of machinery as on 1.4.20X1	1,00,000	–	–
Downward Revaluation of Furniture as on 1.4.20X1	(10,000)	–	–
Short depreciation on machinery (W.N. 5)	–	–	(10,000)
Excess depreciation on furniture (W.N. 5)	–	–	1,500
Total	**1,70,000**	**1,05,000**	**26,500**

4. Minority Interest

Paid-up value of (2,00,000 x 20%)	40,000
Add: 20% share of pre-acquisition profits and reserves [(20% of (50,000 + 30,000)]	16,000
20% share of profit on revaluation	18,000

20% share of post-acquisition reserves	21,000
20% share of post-acquisition profit	5,300
	1,00,300
Less: Unrealised Profit on Inventory [(55,000 x 10/110) x 20%]	(1,000)
	99,300

5. Cost of Control or Goodwill

Cost of Investment		3,20,000
Less: Paid-up value of 80% shares	1,60,000	
80% share of pre-acquisition reserve (₹ 64,000 + ₹ 72,000)	1,36,000	(2,96,000)
Cost of control or Goodwill		**24,000**

Consolidated Balance Sheet [With Dividend Declared/Paid by Subsidiary]

Question 14

XYZ Ltd. purchased 80% shares of ABC Ltd. on 1st January, 20X1 for ₹ 1,40,000. The issued capital of ABC Ltd., on 1st January, 20X1 was ₹ 1,00,000 and the balance in the Profit & Loss Account was ₹ 60,000.

During the year ended 31st December, 20X1, ABC Ltd. earned a profit of ₹ 20,000 and at year end, declared and paid a dividend of ₹ 15,000.

Show by an entry how the dividend should be recorded in the books of XYZ Ltd.

What is the amount of minority interest as on 1st January, 20X1 and 31st December, 20X1? Also please check whether there should be any goodwill/capital reserve at the date of acquisition.

Answer

Total dividend paid is ₹ 15,000 (assumed to be out of post-acquisition profits), hence dividend received by XYZ will be credited to P&L. XYZ Ltd.'s share of dividend = ₹ 15,000 x 80% = ₹ 12,000

In the books of XYZ Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Bank A/c	Dr.	12,000	
	To Profit & Loss A/c			12,000
	(Dividend received from ABC Ltd credited to P&L A/c being out of post-acquisition profits - as explained above)			

Goodwill on consolidation (at the date of acquisition):

	₹	₹
Cost of shares		1,40,000
Less: Face value of capital i.e. 80% of capital	80,000	
Add: Share of capital profits [60,000 x 80%]	48,000	(1,28,000)
Goodwill		**12,000**

Minority interest on:

	₹

1st January, 20X1:	
20% of ₹ 1,60,000 [1,00,000 + 60,000]	32,000
31st December, 20X1:	
20% of ₹ 1,65,000 [1,00,000 + 60,000 + 20,000 – 15,000]	33,000

Question 15

Exe Ltd. acquires 70% of equity shares of Zed Ltd. as on 31st March, 20X1 at a cost of ₹ 70 lakhs. The following information is available from the balance sheet of Zed Ltd. as on 31st March, 20X1:

	₹ in lakhs
Property, plant and equipment	120
Investments	55
Current Assets	70
Loans & Advances	15
15% Debentures	90
Current Liabilities	50

The following revaluations have been agreed upon (not included in the above figures):

Property, plant and equipment — Up by 20%

Investments — Down by 10%

Zed Ltd. declared and paid dividend @ 20% on its equity shares as on 31st March, 20X1 (Face value - ₹ 10 per share). Exe Ltd. purchased the shares of Zed Ltd. @ ₹ 20 per share.

Calculate the amount of goodwill/capital reserve on acquisition of shares of Zed Ltd.

Answer

Calculation of amount of goodwill/capital reserve

	₹ in lakhs	₹ in lakhs
Property, plant and equipment [120 x 120%]		144.0
Investments [55 x 90%]		49.5
Current Assets		70.0
Loans and Advances		15.0
Total Assets after revaluation		278.5
Less: 15% Debentures	90.0	
Current Liabilities	50.0	(140.0)
Equity/Net Worth		**138.5**
Exe Ltd.'s share of net assets (70% of 138.5)		96.95
Exe Ltd.'s cost of acquisition of shares of Zed Ltd. (₹ 70 lakhs – ₹ 7 lakhs*)		63.00
Capital reserve		**33.95**

*Total Cost of 70% Equity of Zed Ltd — ₹ 70 lakhs

Purchase Price of each share — ₹ 20

Number of shares purchased [70 lakhs/₹ 20] — 3.5 lakhs

Dividend @ 20% i.e. ₹ 2 per share ₹ 7 lakhs

Since dividend received is for pre-acquisition period, it has been reduced from the cost of investment in the subsidiary company.

Question 16

A Ltd. acquired 60% shares of B Ltd. @ ₹ 20 per share. Following is the extract of Balance Sheet of B Ltd.:

	₹
10,00,000 Equity Shares of ₹ 10 each	1,00,00,000
10% Debentures	10,00,000
Trade Payables	55,00,000
Property, Plant and Equipment	70,00,000
Investments	45,00,000
Current Assets	68,00,000
Loans and Advances	22,00,000

On the same day, B Ltd. declared dividend at 20% and as agreed between both the companies Property, Plant and Equipment were to be depreciated @ 10% and investment to be taken at market value of ₹ 60,00,000. Calculate the Goodwill or Capital Reserve to be recorded in Consolidated Financial Statements.

Answer

Since dividend is declared by B Ltd. on the date of acquisition itself, it would be out of the divisible profits of B Ltd. existing on the date of acquisition i.e., pre-acquisition profits from the perspective of A Ltd. Accordingly, as per AS 13, such pre-acquisition dividend would be reduced from the cost of investment, as seen below in the determination of Goodwill on the date of acquisition.

	₹	₹
Assets		
Property, Plant and Equipment	70,00,000	
Less: Value written off (₹ 70 lakhs x 10%)	(7,00,000)	
	63,00,000	
Investments at Market Value	60,00,000	
Current Assets	68,00,000	
Loans and Advances	22,00,000	2,13,00,000
Less: Liabilities		
Trade Payables	55,00,000	
10% Debentures	10,00,000	(65,00,000)
Net Assets of B Ltd.		1,48,00,000
Share of A Ltd. in Net Assets of B Ltd. (60%)		88,80,000
Less: Cost of Investment in B Ltd. (60% stake)		
10,00,000 Equity Shares x 60% x ₹ 20 per share	1,20,00,000	
Less: Pre-acquisition dividend = 6,00,000 shares x ₹ 2	(12,00,000)	(1,08,00,000)
Goodwill on Date of Acquisition		**19,20,000**

Question 17

A Ltd acquired 1,600 ordinary shares of ₹ 100 each of B Ltd on 1st July, 20X1. On 31st December, 20X1, the balance sheets of the two companies were as given below:

Balance Sheet of A Ltd. and its subsidiary B Ltd. as at 31st December, 20X1

Particulars			Notes	A Ltd. (₹)	B Ltd. (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	5,00,000	2,00,000
	(b)	Reserves and Surplus	2	2,97,200	1,82,000
2		**Current liabilities**			
	(a)	Short term borrowings	3	80,000	
	(b)	Trade Payables		47,100	17,400
		Total		**9,24,300**	**3,99,400**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	3,90,000	3,15,000
	(b)	Non-current investment	5	3,40,000	–
2		**Current Assets**			
	(a)	Inventories		1,20,000	36,400
	(b)	Trade receivables		59,800	40,000
	(c)	Cash and Cash equivalents	6	14,500	8,000
		Total		**9,24,300**	**3,99,400**

Notes to Accounts

		A Ltd. (₹)	B Ltd. (₹)
1.	**Share Capital**		
	5,000 shares of ₹ 100 each, fully paid up	5,00,000	–
	2,000 shares of ₹ 100 each, fully paid up	–	2,00,000
	Total	**5,00,000**	**2,00,000**
2.	**Reserves and Surplus**		
	General Reserves	2,40,000	1,00,000
	Profit & loss	57,200	82,000
	Total	**2,97,200**	**1,82,000**
3.	**Short term borrowings**		
	Bank overdraft	**80,000**	–
4.	**Property plant and equipment**		
	Land and building	1,50,000	1,80,000
	Plant & Machinery	2,40,000	1,35,000
	Total	**3,90,000**	**3,15,000**
5.	**Non-current Investments**		

	Investment in B Ltd (at cost)	**3,40,000**	–
6.	**Cash & Cash equivalents**		
	Cash	**14,500**	**8,000**

The Profit & Loss Account of B Ltd. showed a credit balance of ₹ 30,000 on 1st January, 20X1 out of which a dividend of 10% was paid on 1st August, 20X1; A Ltd. credited the dividend received to its Profit & Loss Account. The Plant & Machinery which stood at ₹ 1,50,000 on 1st January, 20X1 was considered as worth ₹ 1,80,000 on 1st July, 20X1; this figure is to be considered while consolidating the Balance Sheets. The rate of depreciation on plant & machinery is 10% (computed on the basis of useful lives).

Prepare consolidated Balance Sheet as at 31st December, 20X1.

Answer

Consolidated Balance Sheet of A Ltd. and its subsidiary B Ltd. as at 31st December, 20X1

Particulars			**Notes**	**B Ltd. (₹)**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,00,000
	(b)	Reserves and Surplus	2	3,08,800
2		**Minority Interest**		83,600
3		**Current liabilities**		
	(a)	Short term borrowings	3	80,000
	(b)	Trade Payables	4	64,500
		Total		**10,36,900**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	7,41,000
		ii Intangible Asset	6	17,200
2		**Current Assets**		
	(a)	Inventories	7	1,56,400
	(b)	Trade receivables	8	99,800
	(c)	Cash and Cash equivalents	9	22,500
		Total		**10,36,900**

Notes to Accounts

S. No.	**Particulars**	**₹**	**₹**
1	**Share Capital**		
	5,000 shares of ₹ 100 each		**5,00,000**
2	**Reserves and Surplus**		
	Reserves		2,40,000
	Profit & loss (Refer to W.N 8)		68,800
			3,08,800

3	**Short term borrowings**		
	Bank overdraft		**80,000**
4	**Trade Payables**		
	A Ltd.		47,100
	B Ltd		17,400
			64,500
5	**Property, plant and equipment**		
	Land and building		
	A Ltd.	1,50,000	
	B Ltd	1,80,000	3,30,000
	Plant & Machinery (Refer to W.N 7)		4,11,000
			7,41,000
6	**Intangible assets**		
	Goodwill (refer to W.N 6)		**17,200**
7	**Inventories**		
	A Ltd.		1,20,000
	B Ltd.		36,400
			1,56,400
8	**Trade Receivables**		
	A Ltd.		59,800
	B Ltd.		40,000
			99,800
9	**Cash & Cash equivalents**		
	A Ltd.		14,500
	B Ltd.		8,000
			22,500

Share holding Pattern

Total Shares of B Ltd	2,000 shares
Shares held by A Ltd	1,600 shares i.e. 80%
Minority Shareholding	400 shares i.e. 20%

Working Notes:

1. The dividend @ 10% on 1,600 shares: ₹ 16,000 received by A Ltd. should have been credited to the investment A/c, being out of pre-acquisition profits. A Ltd., must pass a rectification entry, viz.

Particulars		**Debit (₹)**	**Credit (₹)**
Profit & Loss Account	Dr.	16,000	
To Investment			16,000

2. The Plant & Machinery of B Ltd. would stand in the books at ₹ 1,42,500 on 1st July, 20X1, considering only six months' depreciation on ₹ 1,50,000 total depreciation being ₹ 15,000. The value put on the assets being ₹ 1,80,000, there is an appreciation to the extent of ₹ 37,500 (1,80,000 – 1,42,500).

3. Capital profits of B Ltd.

		₹	₹
Reserve on 1st January, 20X1			1,00,000
(Assumed there is no movement in reserves during the year and hence balance as on 1st January 20X1 is same as of 31st December 20X1)			
Profit & Loss Account Balance on 1st January, 20X1		30,000	
Less: Dividend paid		(20,000)	10,000
Profit for 20X1:			
Total	₹ 82,000		
Less:	₹10,000		
	₹ 72,000		
Proportionate upto 1st July, 20X1 on time basis (₹ 72,000/2)			36,000
Appreciation in value of Plant & Machinery			37,500
			1,83,500
Less: 20% due to outsiders			(36,700)
Holding company's share			1,46,800

4. Revenue profits of B Ltd.:

Profit after 1st July, 20X1 [(82,000 – 10,000) x ½]		36,000
Less: Depreciation		
10% depreciation on ₹ 1,80,000 for 6 months	9,000	
Less: Depreciation already charged for 2nd half year on 1,50,000	(7,500)	(1,500)
		34,500
Less: 1/5 due to outsiders		(6,900)
Share of A Ltd.		27,600

5. Minority interest:

Par value of 400 shares (2,00,000 x 20%)	40,000
Add: 1/5 Capital Profits [WN 3]	36,700
1/5 Revenue Profits [WN 4]	6,900
	83,600

6. Cost of Control:

Amount paid for 1,600 shares	3,40,000	
Less: Dividend out of pre-acquisition profits	(16,000)	3,24,000
Par value of shares	1,60,000	
Capital Profits - share of A Ltd. [WN 3]	1,46,800	(3,06,800)
Cost of Control or Goodwill		17,200

7. Value of plant & Machinery:

A Ltd.		2,40,000
B Ltd.	1,35,000	
Add: Appreciation on 1st July, 20X1 [1,80,000 – (1,50,000 – 7,500)]	37,500	

	1,72,500	
Add: Deprecation for 2nd half charged on pre-revalued value	7,500	
Less: Depreciation on ₹ 1,80,000 for 6 months	(9,000)	1,71,000
		4,11,000

8. Profit & Loss Account (Consolidated):

A Ltd. as given	57,200	
Less: Dividend transferred to Investment A/c	(16,000)	41,200
Share of A Ltd. in revenue profits of B Ltd. (WN 4)		27,600
		68,800

Question 18

H Limited acquired 64,000 Equity Shares of ₹ 10 each in S Ltd. as on 1st October, 20X2. The Balance Sheets of the two companies as on 31st March, 20X3 were as under:

Particulars	H Ltd. (₹)	S Ltd. (₹)
Equities and Liabilities:		
Equity Share Capital: Shares of ₹ 10 each	20,00,000	8,00,000
General Reserve (1st April, 20X2)	9,60,000	4,20,000
Profit & Loss Account	2,28,800	3,28,000
Preliminary Expenses (1st April, 20X2)	–	(20,000)
Bank Overdraft	3,00,000	–
Bills Payable	–	52,000
Trade Payables	1,66,400	80,000
Total	**36,55,200**	**16,60,000**
Assets:		
Land and Building	7,20,000	7,60,000
Plant & Machinery	9,60,000	5,40,000
Investment in Equity Shares of S Ltd.	12,27,200	–
Inventories	4,56,000	1,68,000
Trade Receivables	1,76,000	1,60,000
Bills Receivable	59,200	–
Cash in Hand	56,800	32,000
Total	**36,55,200**	**16,60,000**

Additional Information:

(1) The Profit & Loss Account of S Ltd. showed credit balance of ₹ 1,20,000 on 1st April, 20X2. S Ltd. paid a dividend of 10% out of the same on 1st November, 20X2 for the year 20X1-X2. The dividend was correctly accounted for by H Ltd.

(2) The Plant & Machinery of S Ltd. which stood at ₹ 6,00,000 on 1st April, 20X2 was considered worth ₹ 5,20,000 on the date of acquisition by H Ltd. S Ltd. charges depreciation @ 10% per annum on Plant & Machinery.

Prepare consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as on 31st March, 20X3 as per Schedule III of the Companies Act, 2013.

Answer

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X3

Particulars			Note No.	(₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	20,00,000
	(b)	Reserves and Surplus	2	13,07,200
2		**Minority Interest** (W.N. 4)		2,96,400
3		**Current liabilities**		
	(a)	Short term borrowings		3,00,000
	(b)	Trade Payables	3	2,98,400
		Total		**42,02,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	29,34,000
		ii Intangible Asset (W.N. 5)		1,60,000
2		**Current Assets**		
	(a)	Inventories	5	6,24,000
	(b)	Trade receivables	6	3,95,200
	(c)	Cash and Cash equivalents (Cash)	7	88,800
		Total		**42,02,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1.	**Share Capital**		
	2,00,000 equity shares of ₹ 10 each		**20,00,000**
2.	**Reserves and Surplus**		
	General Reserves		9,60,000
	Profit & loss		
	H Ltd.	2,28,800	
	S Ltd. (As per W.N. 3)	1,18,400	3,47,200
			13,07,200
3.	**Trade Payables**		
	H Ltd.		1,66,400
	S Ltd. (80,000 + 52,000)		1,32,000
			2,98,400
4.	**Property, Plant and Equipment**		

	Land and building		
	H Ltd.	7,20,000	
	S Ltd.	7,60,000	14,80,000
	Plant & Machinery		
	H Ltd.	9,60,000	
	S Ltd. (As per W.N. 7)	4,94,000	14,54,000
			29,34,000
5	**Inventories**		
	H Ltd.		4,56,000
	S Ltd.		1,68,000
			6,24,000
6	**Trade Receivables**		
	H Ltd.	1,76,000	
	S Ltd.	1,60,000	3,36,000
	Bills receivable: H Ltd.		59,200
			3,95,200
7.	**Cash & Cash equivalents**		
	Cash		
	H Ltd.		56,800
	S Ltd.		32,000
			88,800

Working Notes:

1. Share holding pattern

Total Shares of S Ltd	80,000 shares
Shares held by H Ltd	64,000 shares i.e. 80%
Minority Shareholding	16,000 shares i.e. 20%

2. Capital profits of S Ltd.

		₹	₹
Reserve on 1st October, 20X2			4,20,000
(Assumed there is no movement in reserves during the year and hence balance as on 1st October, 20X2 is same as of 31st March 20X3)			
Profit & Loss Account Balance on 1st April, 20X2:		1,20,000	
Less: Dividend paid		(80,000)	40,000
Profit for year: Total	₹ 3,28,000		
Less: (opening balance)	₹ 40,000		
	₹ 2,88,000		
Proportionate up to 1st October, 20X2 on time basis (₹ 2,88,000/2)			1,44,000
Reduction in value of Plant & Machinery (WN 6)			(50,000)
			5,54,000
Less: Preliminary expenses written off			(20,000)

Total Capital Profit		5,34,000
Holding company's share (5,34,000 x 80%)		4,27,200
Minority Interest (5,34,000 x 20%)		1,06,800

Note: Preliminary expenses as on 1st April, 20X2 amounting ₹ 20,000 have been written off.

3. Revenue profits of S Ltd.

Profit after 1st October, 20X2 (3,28,000 – 40,000)/2		1,44,000
Less: 10% depreciation on ₹ 5,20,000 for 6 months	(26,000)	
Add: Depreciation already charged for 2nd half year on 6,00,000	30,000	4,000
		1,48,000
Holding company's share (1,48,000 x 80%)		1,18,400
Minority Interest (1,48,000 x 20%)		29,600

4. Minority interest

Par value of 16,000 shares (8,00,000 x 20%)	1,60,000
Add: 1/5 Capital Profits [WN 2]	1,06,800
1/5 Revenue Profits [WN 3]	29,600
	2,96,400

5. Cost of Control

Amount paid for 64,000 shares		12,27,200
Less: Par value of shares (8,00,000 x 80%)	6,40,000	
Capital Profits - share of H Ltd. [WN 2]	4,27,200	(10,67,200)
Cost of Control or Goodwill		1,60,000

6. Calculation of revaluation loss on Plant and Machinery of S Ltd. on 1st October, 20X2

Value of plant and machinery as on 1st April,20X2	6,00,000
Less: Depreciation for the six months	(30,000)
Value of plant and machinery as on 1st October, 20X2	5,70,000
Less: Plant and machinery valued by H Ltd. on 1st October,20X2	(5,20,000)
Revaluation Loss	50,000

7. Value of plant & Machinery of S Ltd. On 31st March,20X3

Value of machinery on 1st October, 20X2	5,20,000
Less: Depreciation for next six month	(26,000)
	4,94,000

Question 19

A Ltd. and B Ltd. provide the following information: **₹ '000s**

	A Ltd.	B Ltd.
Equity Shares	6,000	5,000
6% Preference Shares	NIL	1,000

General Reserve	1,200	800
Profit and Loss Account	1,020	1,790
Trade Payables	3,850	3,410
Dividend Payable	600	500
Goodwill	100	20
Property, Plant and Equipment	3,850	2,750
Investment	1,620	1,100
Inventory	1,900	4,150
Trade Receivables	4,600	4,080
Cash & Bank	600	400

A Ltd. purchased 3/4th interest in B Ltd. at the beginning of the year at the premium of 25%. Following other information is available:

a. Profit & Loss Account of B Ltd. includes ₹ 1,000 thousands brought forward from the previous year (after adjusting dividend amount).

b. The General Reserve balance is brought forward from the previous year.

c. The directors of both the companies have declared a dividend of 10% on equity share capital for the previous year in current year.

From the above information calculate Pre and Post-acquisition Profits, Minority Interest and Cost of Control.

Answer

Calculation of Pre and Post-Acquisition Profits:

	Pre-Acquisition Profits (₹)	Post-Acquisition Profits (₹)
Profit & Loss Account	10,00,000	7,90,000
General Reserve	8,00,000	NIL
	18,00,000	7,90,000
Less: Share of Minority Interest (¼)	(4,50,000)	(1,97,500)
Attributable to Parent	13,50,000	5,92,500
	(Cost of Control)	(Post-acquisition Profits)

Calculation of Minority Interest:

Particulars	**₹**
Paid-up Equity Share Capital (₹ 50,00,000 x ¼)	12,50,000
Paid-up Preference Share Capital	10,00,000
Share in Reserves:	
Profit & Loss Account: ₹ 17,90,000 x ¼	4,47,500
General Reserve: ₹ 8,00,000 x ¼	2,00,000
Minority Interest	**28,97,500**

Calculation of Goodwill/Capital Reserve

	₹	₹
Cost of Investment: ₹ 50,00,000 x 75% x 125% (cost + 25% premium)	46,87,500	

Less: Pre-acquisition dividend	(3,75,000)	43,12,500
Less: Net Worth of B Ltd. on Date of Acquisition (attributable to A Ltd.):		
Paid-up Capital	37,50,000	
Pre-acquisition Reserves	13,50,000	(51,00,000)
Capital Reserve		**7,87,500**

Consolidated Balance Sheet [With Bonus Shares Issued by Subsidiary]

Question 20

On 31st March, 20X1, P Ltd. acquired 1,05,000 shares of Q Ltd. for ₹ 12,00,000. The position of Q Ltd. on that date was as under:

	₹
Property, plant and equipment	10,50,000
Current Assets	6,45,000
1,50,000 equity shares of ₹ 10 each fully paid	15,00,000
Pre-incorporation profits	30,000
Profit and Loss Account	60,000
Trade payables	1,05,000

P Ltd. and Q Ltd. give the following information on 31st March, 20X3:

	P Ltd. (₹)	Q Ltd. (₹)
Equity shares of ₹ 10 each fully paid (before bonus issue)	45,00,000	15,00,000
Securities Premium	9,00,000	–
Pre-incorporation profits	–	30,000
General Reserve	60,00,000	19,05,000
Profit and Loss Account	15,75,000	4,20,000
Trade payables	5,55,000	2,10,000
Property, plant and equipment	79,20,000	23,10,000
Investment: 1,05,000 Equity shares in Q Ltd. at cost	12,00,000	–
Current Assets	44,10,000	17,55,000

Directors of Q Ltd. made bonus issue on 31.3.20X3 in the ratio of one equity share of ₹ 10 each fully paid for every two equity shares held on that date. Bonus shares were issued out of post-acquisition profits by using General Reserve.

Calculate as on 31st March, 20X3 (i) Cost of Control/Capital Reserve; (ii) Minority Interest; (iii) Consolidated Profit and Loss Account in each of the following cases:

(a) Before issue of bonus shares.

(b) Immediately After issue of bonus shares.

Answer

Shareholding pattern

Particulars		No. of Shares	% of holding
a.	P Ltd.		
	(i) Purchased on 31.03.20X1	1,05,000	
	(ii) Bonus Issue (1,05,000/2)	52,500	
	Total	1,57,500	70%
b.	Minority Interest	67,500	30%

Calculations of (i) Cost of Control/Capital Reserve; (ii) Minority Interest; (iii) Consolidated Profit and Loss Account as on 31st March, 20X3:

(a) Before issue of bonus shares

(i)	**Cost of control/capital reserve**	**₹**	**₹**
	Investment in Q Ltd.		12,00,000
	Less: Face value of investments (Share Capital)	10,50,000	
	Capital profits (W.N.)	63,000	(11,13,000)
	Cost of control (i.e., Goodwill)		**87,000**
(ii)	**Minority Interest**		**₹**
	Share Capital		4,50,000
	Capital profits (W.N.)		27,000
	Revenue profits (W.N.)		6,79,500
			11,56,500
(iii)	**Consolidated profit and loss account - P Ltd.**		**₹**
	Balance		15,75,000
	Add: Share in revenue profits of Q Ltd. (3,60,000 x 70%)		2,52,000
			18,27,000

(b) Immediately after issue of bonus shares

(i)	**Cost of control/capital reserve**	**₹**	**₹**
	Face value of investments (₹ 10,50,000 + ₹ 5,25,000)	15,75,000	
	Capital Profits (W.N.)	63,000	16,38,000
	Less: Investment in Q Ltd.		(12,00,000)
	Capital reserve		**4,38,000**
(ii)	**Minority Interest**		**₹**
	Share Capital (₹ 4,50,000 + ₹ 2,25,000)		6,75,000
	Capital Profits (W.N.)		27,000
	Revenue Profits (W.N.)		4,54,500
			11,56,500
(iii)	**Consolidated Profit and Loss Account - P Ltd.**		**₹**
	Balance		15,75,000
	Add: Share in revenue profits of Q Ltd. (3,60,000 x 70%)		2,52,000
			18,27,000

Working Note:

Analysis of Profits of Q Ltd.

	Capital Profits (Pre-acquisition) (Before and after issue of bonus shares)	Revenue Profits (Post-acquisition)	
		Before Bonus Issue	After Bonus Issue
Pre-incorporation profits	30,000	–	–
Profit and loss account on 31.3.20X1	60,000	–	–
General reserve	–	19,05,000	19,05,000
Less: Bonus shares	–	–	(7,50,000)
Profit for period of 1st April, 20X1 to 31st March, 20X3 (₹ 4,20,000 – ₹ 60,000)	–	3,60,000	3,60,000
	90,000	22,65,000	15,15,000
P Ltd.'s share (70%)	63,000	15,85,500	10,60,500
Minority's share (30%)	27,000	6,79,500	4,54,500

Question 21

On 31st March, 20X1, the Balance Sheets of H Ltd. and its subsidiary S Ltd. stood as follows:

Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1

Particulars			Notes	H Ltd. (₹ in Lacs)	S Ltd. (₹ in Lacs)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	12,000	4,800
	(b)	Reserves and Surplus	2	5,499	3,000
2		**Current liabilities**			
	(a)	Trade Payables	3	1,833	1,014
	(b)	Short term provisions	4	855	394
	(c)	Other current liabilities (Dividend payable)		1,200	–
		Total		**21,387**	**9,208**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	5	9,468	5,486
	(b)	Non-current investment (Shares in S Ltd.)		3,000	–
2		**Current Assets**			
	(a)	Inventories		3,949	1,956
	(b)	Trade receivables	6	2,960	1,562
	(c)	Cash and Cash equivalents		1,490	204
	(d)	Short term loans and advances	7	520	–
		Total		**21,387**	**9,208**

Notes to Account

S. No.	Particulars	H Ltd. (₹ in lacs)	S Ltd. (₹ in lacs)
1	**Share Capital**		
	Authorized share capital		
	Equity shares of ₹ 10 each, fully paid up	**15,000**	**6,000**
	Issued and Subscribed:		
	Equity shares of ₹ 10 each, fully paid up	**12,000**	**4,800**
2	**Reserves and surplus**		
	General Reserve	2,784	1,380
	Profit and Loss Account	2,715	1,620
		5,499	**3,000**
3	**Trade Payables**		
	Creditors	1,461	854
	Bills Payable	372	160
		1,833	**1,014**
4	**Short term provisions**		
	Provision for Taxation	**855**	**394**
5	**Property, plant and equipment**		
	Land and Buildings	2,718	–
	Plant and Machinery	4,905	4,900
	Furniture and Fittings	1,845	586
		9,468	**5,486**
6	**Trade receivables**		
	Debtors	2,600	1,363
	Bills Receivable	360	199
		2,960	**1,562**
7	**Short term loans and advances**		
	Sundry Advances	**520**	–

The following information is also provided to you:

(a) H Ltd. purchased 180 lakh shares in S Ltd. on 31st March, 20X0 when the balances of General Reserve and Profit and Loss Account of S Ltd. stood at ₹ 3,000 lakh and ₹ 1,200 lakh respectively.

(b) On 1st April, 20X0, S Ltd. declared a dividend @ 20% for the year ended 31st March, 20X0. H Ltd. credited the dividend received by it to its Profit and Loss Account.

(c) On 1st January, 20X1, S Ltd. issued 3 fully paid-up bonus shares for every 5 shares held out of balances of its general reserve as on 31st March, 20X0.

(d) On 31st March, 20X1, all the bills payable in S Ltd.'s balance sheet were acceptances in favour of H Ltd. But on that date, H Ltd. held only ₹ 45 lakh of these acceptances in hand, the rest having been endorsed in favour of its trade payables.

(e) On 31st March, 20X1, S Ltd.'s inventory included goods which it had purchased for ₹ 100 lakh from H Ltd. which made a profit @ 25% on cost.

Prepare a Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1.

Answer

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1

Particulars			Notes	(₹ in Lacs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,000
	(b)	Reserves and Surplus	2	7,159
2		**Minority Interest** [W.N.6]		3,120
3		**Current liabilities**		
	(a)	Trade Payables	3	2,802
	(b)	Short-term provisions	4	1,249
	(c)	Other current liabilities	5	1,200
		Total		**27,530**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	6	14,954
2		**Current Assets**		
	(a)	Inventories	7	5,885
	(b)	Trade receivables	8	4,477
	(c)	Cash and Cash equivalents	9	1,694
	(d)	Short term loans and advances	10	520
		Total		**27,530**

Notes to Accounts

S. No.	Particulars		(₹ in lacs)	(₹ in lacs)
1	**Share Capital**			
	Authorized share capital			
	Equity shares of ₹ 10 each, fully paid up			**15,000**
	Issued and Subscribed:			
	Equity shares of ₹ 10 each, fully paid up			**12,000**
2	**Reserves and surplus**			
	Capital Reserve (Note 5)			1,320
	General Reserve (2,784 + 108)			2,892
	Profit and Loss Account:			
	H Ltd.		2,715	
	Less: Dividend wrongly credited	36		
	Unrealized Profit	2	(380)	
			2,335	

	Add: Share in S Ltd.'s Revenue profits	612	2,947
			7,159
3	**Trade payables**		
	Creditors:		
	H Ltd.	1,461	
	S Ltd.	854	2,315
	Bills Payable:		
	H Ltd.	372	
	S Ltd.	160	
		532	
	Less: Mutual owing	(45)	487
			2,802
4	**Short term provisions**		
	Provision for Taxation:		
	H Ltd.		855
	S Ltd.		394
			1,249
5	**Other current liabilities**		
	Dividend payable:		
	H Ltd.		**1,200**
6	**Property, plant and equipment**		
	Land and Buildings:		
	H Ltd.		2,718
	Plant and Machinery:		
	H Ltd.	4,905	
	S Ltd.	4,900	9,805
	Furniture and Fittings:		
	H Ltd.	1,845	
	S Ltd.	586	2,431
			14,954
7	**Inventories**		
	Stock:		
	H Ltd.	3,949	
	S Ltd.	1,956	5,905
	Less: Unrealized profit		(20)
			5,885
8	**Trade receivables**		
	Debtors:		
	H Ltd.	2,600	
	S Ltd.	1,363	3,963